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**SUPPLEMENTAL MEMORANDUM ON
CROSS-BORDER MARKETING/SELLING OF ELTIFs
IN
SPAIN**

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Reporting Counsel for Part B:	Allen & Overy Serrano 73 28006 Madrid Spain
Contact:	Salvador Ruiz Bachs Tel: +34 91 7829923 Email: Salvador.RuizBachs@Allenoverly.com
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1. BACKGROUND

1.1 Introduction

Please refer to the *Instructions to Counsel* that you have been sent in conjunction with this Supplemental Memorandum. When preparing responses to this Supplemental Memorandum, please refer to existing answers that you have provided in the Part B Memorandum.

1.2 Definitions

Please refer to the definitions set out in Appendix 1 of the *European Framework Document*. Terms not defined in Appendix 1 of the *European Framework Document* have the following meaning:

cross-border	Where: (a) clients, or prospective clients, are located in your jurisdiction; (b) the OFI is headquartered in a jurisdiction different to your own and either has no licensed office in your jurisdiction or is not carrying out the marketing or selling through any licensed office in your jurisdiction; and (c) employees of the OFI are based in a different jurisdiction to your own and are employed by an entity within the OFI group which is headquartered in a different jurisdiction to your own.
EEA Passporting Entity	A MiFID II Investment Firm, CRD Credit Institution, UCITS ManCo or EEA AIFM authorised in another EEA country with appropriately scoped permissions and which has exercised its right to passport into the jurisdiction on the basis of its home state authorisation.
ELTIF	European Long-Term Investment Fund, whether approved in accordance with the ELTIF Original Regulation or ELTIF 2.0 Regime.
ELTIF 2.0 Regime	ELTIF Regulation (EU) 2023/606 amends the ELTIF Original Regulation. It is effective as of 9 April 2023 and will enter into application on 10 January 2024.
ELTIF Additional Notification Requirements	In addition to the documentation and information required pursuant to the marketing passport notification procedures of the AIFMD Directive, the manager of the ELTIF should provide the competent authority in its home member state with the following: • The prospectus of the ELTIF (which shall include the information to be disclosed by collective investment undertakings of the closed-end type in accordance with PR3 and comply with Article 23 of the ELTIF Regulation); and • The PRIIPs KID, in the event the ELTIF will be marketed to Retail Investors.
ELTIF Additional Retail Investor Documentation Requirements	• PRIIPs KID: A PRIIPs KID is required • Confirmation that ELTIF intended for Retail Investors: The prospectus and any other marketing documents shall state that the ELTIF is intended to be marketed to Retail Investors. • Paper Copy of Annual Report: The prospectus should include a statement confirming that a paper copy of the annual report shall be delivered to Retail Investors upon request and free of charge.

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- **Paper Copy of the Prospectus:** Pursuant to Article 24 of the ELTIF Regulation, a paper copy of the Prospectus shall be delivered to Retail Investors upon request and free of charge.
- **Annual Report – Feeder ELTIF:** For a feeder ELTIF that is to be marketed/sold to a Retail Investor, it is necessary to include a statement on the aggregate charges of the feeder ELTIF and the master ELTIF. The annual report of the feeder ELTIF shall indicate how the annual report of the master ELTIF can be obtained.
- **Annual Report – Additional Financial Information:** Pursuant to Article 23(6) of the ELTIF Regulation, certain additional financial information (e.g. relating to quantitative limits that apply to risk management) should be provided upon the request of a Retail Investor.
- **Suitability Documentation:** A statement of suitability should be provided to a Retail Investor in accordance with the requirements described in Article 30 of the ELTIF Regulation. If the result of a suitability assessment is that the ELTIF is not suitable for a Retail Investor and such investor nevertheless wishes to proceed, then express content of that Retail Investor should be obtained. Note such waiver is not possible where the suitability assessment is provided in the context of investment advice.
- **Clear Written Alert:** The Retail Investor should be informed by means of a clear written alert of the information set out in Article 30(2) of the ELTIF Regulation.
- **Feeder ELTIF:** shall disclose in marketing communications that it permanently invests 85% or more of its assets in units/shares of master ELTIF.
- **Cooling-off period:** Retail Investors shall be able during the subscription period and during a period of 2 weeks after the signature of the initial commitment or subscription agreement, to cancel their subscription and have money returned without penalty.
- **Complaints:** The manager of the ELTIF shall establish appropriate procedures and arrangements to deal with Retail Investor complaints.
- **Equal treatment:** The rules or instruments of incorporation of an ELTIF marketed to Retail Investors shall provide that all investors benefit from equal treatment and that no preferential treatment or specific economic benefit is granted to individual investors or groups of investors within the relevant class or classes.

ELTIF Marketing Passport

A marketing passport available to ELTIFs that have been approved under the ELTIF Original Regulation or ELTIF 2.0 Regime.

ELTIF Original Regulation

ELTIF Regulation (EU) 2015/760.

ELTIF Regulation

Means the ELTIF Original Regulation as amended by the ELTIF 2.0 Regime.

ELTIF Transparency Requirements

- **Information on redemptions of units/shares:** Pursuant to Article 18(1) of the ELTIF Regulation, the rules or instruments of incorporation of the ELTIF and disclosures to investors should

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explain the procedures for the redemption of units or shares and the disposal of assets, and state clearly that redemptions to investors shall be possible as from the day following the date of the end of life of the ELTIF (except where the derogation at Article 18(2) of the ELTIF Regulation applies and redemptions during the life of the ELTIF are possible).

- **Prospectus:** The units and shares of an ELTIF cannot be marketed in the EU without the prior publication of a prospectus. Article 23 of the ELTIF Regulation sets out requirements in relation to what information such a prospectus should contain (which includes the information prescribed by PR3), Article 24 of the ELTIF Regulation sets out additional requirements that apply in connection with the prospectus and Article 25 of the ELTIF Regulation sets out the requirements that apply to cost disclosures in the prospectus.
- **Information about illiquid nature of ELTIF:** The prospectus and any other marketing documents should prominently inform investors about the illiquid nature of the ELTIF. Article 23(4) of the ELTIF Regulation sets out the type of information that is to be provided.
- **Annual Report:** In addition to complying with the requirements applicable to annual reports set out in Article 22 of the AIFMD Directive, Article 23(5) of the ELTIF Regulation sets out certain additional information requirements in connection with the annual report.

Fly-In Meeting

Employees of the OFI flying into your jurisdiction to carry out marketing activities.

Fund

A collective investment undertaking, with or without legal personality, which raises capital from a number of investors with a view to investing it in accordance with a defined investment policy for the benefit of those investors. For the purposes of this Memorandum, local counsel have been instructed to assume that all Funds are offshore.

OFI

A bank, asset manager or other offshore financial institution e.g. distributor, which is marketing or providing financial products or services and is headquartered in a different jurisdiction to your jurisdiction.

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2. GUIDELINES FOR COMPLETING THIS SUPPLEMENTAL MEMORANDUM

Please check the boxes below to **confirm** you have followed each of these guidelines:

Please **do**:

- (a) provide **focused answers**, which deal only with issues/requirements/exemptions/conditions that are **relevant to a financial institution** (e.g. bank / securities firm / credit institution / hedge fund / investment fund / pension fund / insurance firm) – please do **not** provide theoretical answers that could never apply in practice to a financial institution; ☒
- (b) **cross-refer**, where appropriate, to answers in the Part B Memorandum. ☒
- (c) ensure that you **answer all of the questions** posed in this Supplemental Memorandum (please note that certain questions comprise several separate questions, all of which must be answered); ☒
- (d) use the **defined terms** in section 1.2 of this Supplemental Memorandum and in Appendix 1 of the *European Framework Document*; ☒
- (e) begin answers with "**Yes**" or "**No**", where possible, followed up with a **simple and concise** explanation; ☒
- (f) where publicly available free of charge, please provide (i) a **website link to any guidance** (e.g. guidance issued by the competent regulator) referred to in your responses; and (ii) an **English translation** of any such guidance; ☒
- (g) **complete Appendix 1** which pulls together the required and recommended legends to be included in ELTIF marketing materials; and ☒
- (h) **confirm** that you have read and agree with the contents of the *European Framework Document*. ☒

Please **do not**:

- (i) leave any answer **blank** – if a question is not applicable, please indicate this by stating "N/A" (and provide a brief explanation why it is not applicable); ☒
- (j) **modify** any question or the format of this Supplemental Memorandum; or ☒
- (k) qualify your answer with **additional factual assumptions** unless agreed with aosphere LLP. ☒

3. SPECIFIC ISSUES RELATING TO CROSS-BORDER MARKETING/SELLING OF ELTIFs

Questions	Answers
ELTIF 2.0 Regime	
This Supplemental Memorandum concerns the position that applies in your jurisdiction in terms of the process for using the ELTIF Marketing Passport and rules regarding the cross-border marketing/selling of ELTIFs. When seeking actual authorisation of an ELTIF, care should be taken to consider the whole of the ELTIF Regulation which is not covered by this Supplemental Memorandum. When preparing the answers counsel are confirming the position that will apply from 10 January 2024. Note that we do not consider any tax aspects of an ELTIF in a particular jurisdiction – this is outside the scope of Marketing Restrictions – Asset Management.	
ELTIF Marketing Passport	
In this section we are concerned with the process of passporting an ELTIF into your jurisdiction. In relation to the passporting of an ELTIF into your jurisdiction, please cross-refer to your answers on the AIFMD Marketing Passport set out in section 4.2 of the Part B Memorandum, where applicable. Please also distinguish where the process differs depending on whether the passported ELTIF will be marketed/sold to Retail Investors and/or Professional Investors only:	
(a) the notification process ;	Professional Investors only: The notification process is the same for other AIFs as set out in section 4.2 of the Part B Memorandum, i.e. via the home Member State regulator in accordance with Article 32 of AIFMD. However, it is necessary to consider the ELTIF Additional Notification Requirements. Retail Investors: The notification process is the same for other AIFs as set out in section 4.2 of the Part B Memorandum, i.e. via the home Member State regulator in accordance with Article 32 of AIFMD. With regard to ELTIFs to be offered to Retail Investors, as part of ELTIF Additional Notification Requirements it is necessary to provide a copy of the PRIIPs KID. Please note that the prospectus for an ELTIF is required to include the information to be disclosed by collective investment undertakings of the closed-end type in accordance with PR3. However, depending on the type of ELTIF (e.g. whether the interests amount to “securities” within the scope of the PR3 and/or whether it will be listed) it may be separately necessary to consider whether it

	is required to have the prospectus approved pursuant to PR3 or whether the activities can be structured pursuant to a PR3 exemption.
(b) timescales;	Professional Investors only: Spanish law sets out that marketing will be permitted after the CNMV expressly confirms to the home Member State regulator the receipt of the notification file. In this respect, please refer section 4.2.(h) of Part B Memo. Retail Investors: The same explanation given for Professionals Investors is applicable to Retail Investors.
(c) Are there any fees payable in your jurisdiction: (i) upon receipt of an incoming ELTIF Marketing Passport notification; and (ii) payable on an ongoing basis;	Professional Investors only: Please refer to answer 4.2(c) of Part B Memo. Retail Investors: The same explanation given for Professional Investors is applicable to Retail Investors .
(d) Is it necessary to appoint a local agent/distributor or to make facilities available in line with the CBDF Directive (or otherwise) in order to utilise the ELTIF Marketing Passport in your jurisdiction?	Professional Investors only: A Representative must be appointed. See section 4.2(f) of the Part B Memorandum for more details. When providing services without a branch (<i>without permanent establishment</i>) the EEA AIFM shall also appoint a Spanish local agent for tax purposes. These roles may be assumed by the same entity provided that the relevant requirements are all met. Retail Investors: Facilities are required for making payments to investors, repurchasing or redeeming units/shares and facilitating the provision of documents and information (e.g. prospectus, annual reports etc.). When providing facilities to Retail Investors, AIFs will not be obliged to be based in Spain or to designate a third party based in Spain (art. 75 ter Law 22/2014). However, when providing services without a branch (<i>without permanent establishment</i>) the EEA AIFM and the non-EEA AIFM shall also appoint a Spanish local agent for tax purposes. Also, in accordance with Circular 2/2011 it is necessary to consider the requirement for a Representative. These roles may be assumed by the same entity provided that the relevant requirements are all met. See section 6.1(c)(iv) of the Part B Memorandum for the level of supervision/regulation that will apply to a third-party providing the facilities.
(e) Is it necessary to provide investors with a PRIIPs KID , and if so, what language does the KID need to be in;	Professional Investors only: No requirement

	Retail Investors: Yes a PRIIPs key information document, or KID, is required. The PRIIPs KID must be drafted in Spanish.
(f) What language the other documents to be filed need to be in;	Professional Investors only: A language customary in the sphere of international finance (i.e. English or Spanish). Retail Investors: All the documents have to be submitted together with their translation into Spanish or another language accepted by the CNMV. The CNMV has construed “another language accepted by the CNMV” as an analysis to be made in a case-by-case basis taking into account the characteristics and complexities of the AIF and the type of client. We are of the opinion that, in practical terms, the CNMV will only accept Spanish language when the relevant ELTIF targets Retail Investors.
(g) Initial and ongoing filing requirements; and	Professional Investors only: For the initial filing requirement see our answer to section (a) above. Once the ELTIF has been registered in the CNMV’s register, the ELTIF has to appoint a representative (i.e. a designated entity) as regards on-going filing requirements who must communicate to the CNMV any information that may be relevant for the marketing in Spain of the ELTIF, as well as any change in the ELTIF that affects the essential elements of the offer of its shares/units in Spain or its registration with the CNMV, having to submit also any modifications that occur in the documentation registered, including the registrations and de-registrations of marketing entities of the ELTIF in Spain. The information regarding the registration of and de-registration of the marketing entities of the ELTIF have to be notified within 7 days of the date the change took place. Even though the Spanish law does only specify the 7 days deadline for the registration and de-registration of the marketing entities, we are of the opinion that the 7 days deadline would be also applicable mutatis mutandis to the rest ongoing filing requirements. Lastly, all marketing entities of foreign AIFs, including ELTIF, are obliged to submit a quarterly statistical statement referred to in Circular 2/2017, even if in during the quarter they have not marketed any of the CIS for which they are registered with the CNMV. This statement is referred to as an A01 statistical statement. The A01 statistical statement has to be submitted within 2 months the end of each quarter. Retail Investors: The same explanation given for Professional Investors is applicable to Retail Investors.

(h) Please could you provide a link to the local regulator's website (even if in the local language only) where information on the notification procedure for an incoming passported ELTIF Fund is set out.	Professional Investors only: As indicated in question (a), the process is the same explained for AIFs. In this respect, please refer to section 4.2 of the Part B Memorandum. Retail Investors: Please refer to section 4.2 of the Part B Memorandum.
Reverse Enquiry in relation to an ELTIF	
(i) Is it possible to respond to a reverse enquiry regarding an ELTIF which has not been passported into your jurisdiction?	Professional Investors only: See section 5(a)-(b) of the Main Memorandum. The analysis in those sections regarding reverse enquiries received from Professional Investors regarding AIFs applies equally where such AIFs are ELTIFs. Hence it will be possible to respond to a reverse enquiry from a Professional Investor where such activity is conducted in accordance with the Conditions for Permitted Reverse Enquiry (as such term is defined in the Part B Memorandum). Retail Investors: See section 6.2(a) of the Part B Memorandum which confirms that the position in relation to a reverse enquiry from a Professional Investor applies equally where the investor is a Retail Investor.
(j) Would the OFI requirements referred to in (o) below also apply where the OFI receives and responds to a reverse enquiry in relation to a Fund that benefits from the ELTIF Marketing Passport in your jurisdiction? For example, could an OFI respond to a reverse enquiry regarding a Fund that benefits from the ELTIF Marketing Passport without triggering firm notification/licensing or approval requirements?	Professional Investors only: See 4.2(e)(ii) of the Part B Memorandum which applies equally to in this scenario. The OFI may not be caught by the Licensing Requirement (as such term is defined in the Part B Memorandum) where the Conditions for Permitted Reverse Enquiry (as such term is defined in the Part B Memorandum) apply. Retail Investors: The Conditions for Permitted Reverse Enquiry may also apply where the reverse enquiry comes from a Retail Investor, provided the associated conditions are met.
Pre-Marketing	
(k) Is it possible to pre-market an ELTIF to a Professional Investor before it is passported into your jurisdiction? Where yes, on what basis is this possible? Is it in line with the CBDF Pre-Marketing regime?	It is possible to pre-market an ELTIF to Professional Investors on the same basis as set out in section 4.4(b) of the Part B Memorandum.
(l) For Retail Investors is it possible to pre-market (A) before committing to notify ; or (B) during the relevant notification process ? If so, please could you provide a definition of what	No.

	would amount to permitted “pre-marketing” of an ELTIF in this context.	
(m)	Where “pre-marketing” of an ELTIF to Retail Investors is permitted in your jurisdiction, please could you outline the types of marketing activities which would fall within the scope of such permitted “pre-marketing”, distinguishing if relevant between:	N/A
(i)	the types of materials that can be circulated (e.g. presentations, offering documents, subscription documents);	N/A
(ii)	the status of the ELTIF (e.g. whether established or still under formation);	N/A
(iii)	whether the documents are in draft or final form; and	N/A
(iv)	any other relevant considerations in your jurisdiction (e.g. number or type of investor to whom the “pre-marketing” is done).	N/A
(n)	Are there specific “pre-marketing” activities to avoid on the basis that these will trigger the ELTIF marketing passport notification requirement?	N/A
(o)	Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI pre-marketing an ELTIF in your jurisdiction?	Professional Investors only: Yes, the third party must be a MiFID II Investment Firm, a CRD Credit Institution, a UCITS ManCo, an EU AIFM or a MiFID II tied agent (as referred to in Section 4.4(b)(v) of the Part B Memorandum). Retail Investors: Please note that pre-marketing of ELTIF to Retail Investors is not possible in accordance with the Spanish law-
OFI Licensing Requirement		
(p)	Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling an ELTIF that has been passported into your jurisdiction?	Professional Investors only: See 4.2(e) of the Part B Memorandum which applies equally where the AIF is an ELTIF marketed/sold to Professional Investors.

	Retail Investors: . The position set out in 4.2(e) of the Part B Memorandum also applies if the investor is a Retail Investor.
Marketing Activities	
(q) With reference to section 8.1 of the Memorandum, please can you confirm which particular considerations apply when the activity relating to an ELTIF involves: (i) the distribution of written marketing materials (ii) marketing via telephone (iii) marketing via Fly-In Meeting??	(i) Professional Investors only: The considerations which apply to an AIF set out in section 8.1 apply although it will additionally be necessary to consider the ELTIF Transparency Requirements. Retail Investors: In addition to the above, it will be necessary to consider the ELTIF Additional Retail Investor Documentation Requirements. (ii) Professional Investors only: The considerations which apply to an AIF set out in section 8.2 apply. Retail Investors: See above. (iii) Professional Investors only: The considerations which apply to an AIF set out in section 8.3 apply. Retail Investors:
(r) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials for an ELTIF? If so, provide recommended wording in Appendix 1 of this Memorandum.	Please see Appendix 1 for recommended and mandatory disclaimers. Professional Investors only: Yes, the disclosures contained in the ELTIF Transparency Requirements must be made, including information about the illiquid nature of the ELTIF. Retail Investors: Yes, in addition to the requirements for Professional Investors, the ELTIF Additional Retail Investor Documentation Requirements apply which includes specifically a Clear Written Alert with regard to certain features of the ELTIF.

APPENDIX 1

DISCLAIMERS

A: DISCLAIMERS – ELTIF MARKETING PASSPORT

Recommended wording if the Fund is being marketed on the basis of Article 32 of the AIFMD to **Professional Investors** only:

"[Name of the ELTIF Fund] is registered with the Securities Market Commission under official registration number [Include relevant registration number]"

"The Prospectus and the [Key Information Document/Simplified Prospectus], the annual accounts and interim reports and the rest of the relevant documentation of the fund may be obtained in the offices of the distributors of the fund. Investors may obtain a complete list of such distributors on the Securities Market Commission website (www.cnmv.es)"

Recommended wording if the Fund is being marketed on the basis of Article 32 of the AIFMD to **Retail Investors**:

(The same wording should be used as set out for Professional Investors above).

Additional Requirements:

Please also see question (r) for additional considerations that apply in connection with the written materials relating to an ELTIF. These depend on whether the ELTIF is offered to Professional Investors only or also to Retail Investors.

Please note that the prospectus for an ELTIF is required to include the information to be disclosed by collective investment undertakings of the closed-end type in accordance with PR3. However, depending on the type of ELTIF (e.g. whether the interests amount to "securities" within the scope of the PR3 and/or whether it will be listed) it may be separately necessary to consider whether it is required to have the prospectus approved pursuant to PR3 or whether the activities can be structured pursuant to a PR3 exemption. Where the activities are being structured pursuant to a PR3 exemption it may be advisable to include wording along the following lines:

Further, any person who is in possession of this [document] expressly undertakes not to take any action or carry out any activity, either directly or indirectly, which may be considered as a public offer of the Fund under the applicable Spanish laws and regulations. Accordingly, the shares or units in the Fund may not be offered or distributed, and neither this [document] nor any offering material relating to the units or shares in the Fund may be distributed or made available in whole or in part, either directly or indirectly, in the Kingdom of Spain unless the requirements set out in Section 35 of Royal Legislative Decree 4/2015, of 23 October, approving the restated text of Law 24/1988 of 28 July on the Securities Market are met. Such requirements are the following:

a) An offer of securities exclusively directed to qualified investors.

b) An offer of securities directed to fewer than 150 natural or legal persons of a Member State, without including qualified investors.

c) An offer of securities directed to investors who acquire securities for a minimum of 100,000 euros per investor, for each separate offer.

d) An offer of securities the unit nominal value of which is at least 100,000 euros.